EXECUTIVE SUMMARY

I. INTRODUCTION

Calayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri. This town has a total land area of 54,953.75 hectares and is a third class municipality with twelve barangays. This municipality is an archipelago composed of small islands and islets. The major inhabited islands comprising this municipality are the following:

1. Calayan Island – seat of government wherein 7 of the 12 barangays are located.
2. Camiguin Island- 3 barangays are located
3. Dalupiri Island – privately owned island barangay
4. Babuyan Claro Island – an island barangay located on the northern part of the municipality between Calayan Island and the Batanes Islands.

A financial and compliance audit was conducted on the operations of the municipal government of Calayan, Cagayan for the year ended December 31, 2015. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

II. FINANCIAL HIGHLIGHTS

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Calayan for the year ended December 31, 2015, with comparative figures for CY 2015, are as follows:

	2015	2014	Increase (Decrease)
Financial Condition			
Total Assets	P 199,993,613.06	P180,171,373.31	P19,822,239.75
Total Liabilities	72,427,741.17	44,793,791.29	27,633,949.88
Total Government Equity	127,565,871.89	135,377,582.02	(7,811,710.13)

Results of Operation			
Total Income	101,063,467.36	96,094,537.12	4,968,930.24
Total Expenses	80,822,797.40	72,090,092.85	8,732,704.55
Appropriations, Allotments and Obligations			
Appropriations – Current	104,501,348.00	86,224,595.84	18,276,752.16
Appropriations - Continuing	12,871,655.70	12,709,302.62	162,353.08
Allotments – Current	92,970,463.25	80,955,592.74	12,014,870.51
Allotments – Continuing	4,312,966.28	4,513,108.62	(200,142.34)
Obligations – Current	87,995,208.84	76,407,291.79	11,587,917.05
Obligations – Continuing	3,448,834.18	2,623,711.60	825,122.58

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2015 were P199,993,613.06, P72,427,741.17 and P127,565,871.89 with an increase/(decrease) of 10%, 38% and (6%), respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P101,063,467.36 and P80,822,797.40 which increased by 5% and 11%, respectively, from last year's figures.

Comparative Statement of Fund Transfers to and from NGAs, GOCCs, and LGUs are as follows:

Particulars	**2015**	**2014**	**Increase (Decrease)**
Funds Transferred to Other Agencies:			
Due from National Government Agencies	P -	P 81,961.42	P (81,961.42)
Due from Government-Owned and/or Controlled Corporations	-	6,978.61	(6,978.61)
Due from Local Government Units	1,533,733.84	1,489,192.24	44,541.60
TOTAL	1,533,733.84	1,578,132.27	(44,398.43)
Funds Received from Other Agencies:			
Due to NGAs	10,660,256.36	144,104.48	10,516,151.88
Due to GOCCs	3,106.04	-	3,106.04
Due to LGUs	1,466,754.07	1,220,631.17	246,122.90
TOTAL	12,130,116.47	1,364,735.65	10,765,380.82

Funds transferred by the Municipality to Other Agencies amounted to P1,533,733.84 with an increase of 3% from last year's figures. On the other hand, funds transfer received from Other Agencies amounted to P12,130,116.47.

III. INDEPENDENT AUDITOR'S REPORT ON THE FINANCIAL STATEMENTS

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Calayan due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P110,500,237.92 as of year-end.

IV. SIGNIFICANT FINDINGS AND RECOMMENDATIONS

Financial and Compliance Audit

1. **Collections amounting to P 3,890,494.91 were not deposited intact at the end of the year contrary with COA Circular No. 92-382 dated July 3, 1992 and Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.**

   We recommended that the Municipal Treasurer/Liquidating Officer deposit intact regularly all collections with its authorized depository bank pursuant to the aforementioned regulation and to avoid exposing the funds to the risk of possible loss, misapplication or misappropriation.

2. **The municipality have not submitted the accounts, disbursement vouchers and its supporting documents for transaction from September to December 2015, contrary to COA Circular No. 2009-006 dated September 15, 2009, thus, casting doubt on the reliability of the recorded disbursements.**

   We recommended that management adhere strictly with the provisions of COA Circular No. 2009-006 dated September 15, 2009 for the complete and timely submission of disbursement vouchers together with supporting documents.

3. **The municipality has no Ecological Solid Waste Management Plan duly approved by the National Solid Waste Management Commission contrary with the provision of Section 16 of Republic Act No. 9003. Thus, it deprived the constituents to a systematic, comprehensive and ecological waste management program on better protection of public health and environment.**

   We recommended that management thru the Local Solid Waste Management Board, prepare a 10 year Solid Waste Management Plan, consistent with the National Solid Waste Management Framework and submit the same to the Solid Waste Management Commission for approval as required under Republic Act No. 9003, otherwise known as the Ecological Solid Waste Management Act of 2000.

4. **The annual GAD Plan and Budget (GPB) totalling to P7,681,800.00 were not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, thus,**

identified programs, projects and activities cannot be ascertained whether it is in accordance with the Joint Circular.

We recommended that management comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget.

5. **The municipality paid wages amounting to P7,269,950.00 in hiring an average of One Hundred Sixty Two (162) contractual, casual and job order personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.**

We recommended that management formulate a Policy Guideline for contractual/casual/job order employees, taking into consideration the necessity of hiring and the reasonable number of contractual/casual/job order employees to be assigned in different offices to avoid excessive manpower and work duplication.

Ensure that the policy guideline to be formulated does not restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

6. **The procurement of the municipality for various goods and services for CY 2015 totaling to P111,297.02 were made through reimbursement basis instead of public bidding, contrary to the Revised Implementing Rules and Regulations of Republic Act No. 9184, otherwise known as the Government Procurement Reform Act.**

We recommended that management follow strictly the Revised Implementing Rules and Regulations of the Government Procurement Reform Act, and to adhere to the principle of transparency, accountability, equity, efficiency and economy in its procurement process.

7. **Livelihood Assistance granted to individuals intended as Loan amounting to P500,000.00 under the 20% Development Fund of the Municipality were charged to Donations (878) instead of Loans Receivable- Others (173), which may cause difficulty in the monitoring of accounts, thus, increasing the risk of non-recovery/non-collection and may result to possible loss of government funds.**

We recommended that the Municipal Accountant record the loan granted to beneficiaries as Loan Receivables-Others for control purposes and for the fair presentation of the accounts in the financial statements. Likewise, maintain Subsidiary Ledger for each beneficiary. Require concerned officials and employees to monitor closely the loans to avoid non-recovery/non-collection and eventual wastage of government funds, and to ensure that the intended purpose of the program will be fully achieved.

Value for Money Audit

8. **Disbursements amounting to P298,679.90 and P60,000.00 for Sports Development and Special Program for Employment for Students, respectively were charged from the 20% Development Fund of the municipality contrary to the DILG-DBM Joint Memorandum Circular No. 2011-1 dated April 13, 2011, thus, deprived the optimum utilization of the 20% fund intended for developmental programs and projects.**

    We recommended that management, thru the Local Finance Committee and all responsible officials in the preparation of the budget and utilization of funds to strictly adhere to the guidelines to ensure that the utilization of the development fund are for purposes for which it was intended.

V. STATUS OF IMPLEMENTATION OF PRIOR YEAR'S AUDIT RECOMMENDATIONS

Of the seven (7) audit recommendations embodied in the 2014 Annual Audit Report, two (2) were fully implemented and five (5) were not implemented as shown in Part III of this report.